bilateral RMB swaps with a BRICS' CRA, to which, as explained in Chapter 3, China has contributed the largest initial commitment of $41 billion.

Two additional institutional bases for wider international use of the RMB are the introduction of a new Chinese international payments system and the expansion and reform of quotas for investing in China's local-currency equity market (i.e., the RQFII quota). In October 2015, China launched in a phased roll-in of its own international payment system—the Cross-border Interbank Payment System (CIPS), substantially in accordance with international standards, but run by the authorities in contrast to similar systems operated by private actors. According to Ma Jun, the PBOC's chief economist, the entire cross-border RMB settlement framework is expected to "inevitably stimulate greater renminbi demand from market participants."[161]

Reportedly, Russia has piloted its owns rudimentary variant of CIPS, but in a sign of future links, in March 2016 the second-largest Russian bank joined other foreign banks to connect to CIPS while remaining linked to SWIFT, given the former's still limited hours of operation. The same month, CIPS and SWIFT, which is an interbank communications system (not a payments system) that rapidly shares financial information between financial institutions globally, agreed to collaborate in their respective roles. If CIPS adopts full international standards and acquires the functionality necessary to reduce operational risk and achieve efficiency levels equivalent to advanced competitors, such as the New York–based Clearing House Interbank Payments System (CHIPS) that daily supports about $1.5 trillion in payments, its usage could expand to its trading partners worldwide. Some experts also suggest that the Chinese government seeks greater autonomy and eventually to create its own dedicated messaging line to operate outside of SWIFT, which is operated by U.S. and European banks. All the BRICS (especially Russia) share China's concerns about their vulnerability to the United States using its financial and monetary power to sanction other states and spy on them using payments systems that can be accessed by U.S. intelligence agencies, according to National Security Agency (NSA) documents leaked by Edward Snowden and other experts.[162]

Finally, RQFII, China's program of quotas, gives another indicator of progress in capital account opening. These have been increased in total size and extended to new offshore centers beyond Hong Kong, in Europe, and in other regions, including Western countries such as Britain, Germany, Singapore, France, South Korea, and Canada. In June 2016, Beijing also belatedly granted U.S. asset managers a $38 billion quota to invest in RMB-denominated Chinese securities (the second largest, and only slightly smaller than Hong Kong's).

As noted at the beginning of this section, all the BRICs recognize that there is a trade-off between the security that comes from holding large war chests of unproductive foreign reserves and deploying that capital in profitable investments that may also serve their geoeconomic ambitions. China is the BRICS' largest creditor and has a strong positive net international investment position. At the end of 2016, China's banking system also surpassed the Eurozone's to become the world's largest banking system by assets, with $33 trillion compared to $31 trillion for the Eurozone and $16 trillion for the United States.[163] China's financial rise, however, paradoxically also reflects its over-reliance on bank-financed investment and masks perilous debt levels. Moreover, because it is also long on low-yielding foreign government debt securities while short in equity, it is losing tens of billions of dollars from the lower rates of return on its overseas assets. Given that total bank credit as a percentage of GDP has been at least three times larger than China's stock market capitalization (the reverse of what it is in the United States), the authorities have strong incentives to continue opening the capital market and developing the financial services sector. Combined with China's other initiatives, OBOR, AIIB, the NDB, and Chinese sovereign wealth funds (SWFs), as well as the shift to open access to its equity and bond markets, the preoccupation with a conservative, defensive, low-yield position seems to be shifting to the deployment of capital for high economic and geopolitical returns regionally and globally. If profit, growth, and influence are indeed important motivations, outside observers will see China's leaders feel their way across the stones in the river, balancing domestic and international risks, to reach the other side.

CONCLUSION

This chapter has assessed several dimensions of the global power shift currently underway, in which the post–Cold War unipolar period of unquestioned U.S. dominance is beginning to give way to an eventual multipolar, or bipolar-multipolar, global interstate system, with the United States and a rising China significantly stronger than other traditional regional great powers. The discussion began with a brief review of traditional international relations debates about the proper conceptualization of a national "power." A state's power may be understood as derived from its ability to pressure or persuade another country to alter its previously chosen course of action (power as *influence*) or from its institutional, normative, or system-governance position and resources that allow the powerful country to set agendas and otherwise shape the environment within others may act, whether they